Chapter Twenty-Seven

State of Foreign Trade, Commerce and Investments

Foreign Trade Promotes GDP Growth and National Income

GDP, the sum of all value added in the goods and services produced in an economy, is also the source of income of the three major factors of production: labour (salary/wages), capital/entrepreneur (profits) and the government (taxes). It therefore makes eminent sense to produce goods and services and export the same to other countries to earn wages, profits and taxes for the labour, capital and government of the exporting country. Additional income brings higher prosperity.

No country produces all the goods and services its residents need for consumption and investment. That's why most essential imports take place. The residents of a country may also prefer to consume goods and services produced elsewhere for better quality, novelty or other reasons. There may also be a need for machine and technology imports owned/patented by others.

Imports can be paid for by export income, importing capital or paying gold/other precious metals. Transferring gold and silver, which used to be the primary mode of settling the export-import deficit until the middle of the twentieth century, is no longer in practice. A country either pays from export income or by importing capital—debt, equity or both. An excessive export-import deficit, also called current account deficit, made good by importing portfolio capital, especially debt, brings the country concerned to grief sooner or later as debt servicing becomes impossible after some time and equity portfolio inflow reverses quite often for various reasons.